THE BIG POLICY PUSH

Recognising that India has steadily lost global market share, the government has attempted to reset the sector through an aggressive trade and industrial policy push. The recent FTAs with the European Union and the UK are central to this strategy. These agreements promise duty-free access to key export markets, helping Indian exporters overcome the 9-12 per cent tariff disadvantage they currently face against countries such as Bangladesh, Vietnam and Turkey. The India-UK FTA, signed in July 2025, grants duty-free access for nearly 99 per cent of Indian exports and is expected to significantly benefit textiles. The India-EU FTA similarly opens up one of India's largest apparel markets, where ready-made garments account for nearly 60 per cent of textile imports.

The government has also set an ambitious target of increasing textile exports from $35.7 billion (Rs 3.4 lakh crore) today to $100 billion (Rs 9.5 lakh crore) by 2030. The strategy includes focusing on high-value segments such as GI products, carpets, silk and handlooms, while also converting non-exporting districts into export hubs. The PM MITRA (Pradhan Mantri Mega Integrated Textile Region and Apparel) Parks scheme aims to create integrated textile ecosystems by bringing spinning, weaving, processing and garmenting together at single locations to reduce logistics costs and improve economies of scale.

But trade access alone cannot solve a competitiveness problem. Countries such as Bangladesh continue to enjoy lower labour costs and preferential trade access in several markets. Vietnam has emerged as a preferred sourcing destination because of its integrated supply chains, stronger MMF ecosystem and faster execution capabilities. China, despite rising wages, continues to dominate through scale, technology and efficiency. India also continues to export large quantities of yarn and fabric to countries such as Bangladesh and Vietnam, where these materials are converted into garments for global brands. In other words, India often exports the lower-value stages of the supply chain while competitors capture the far more profitable garmenting segment.

DIVERSIFICATION GOAL

Industry leaders argue that if India wants to truly benefit from the 'China Plus One' strategy increasingly adopted by global retailers, it must urgently strengthen downstream manufacturing capacity. Gupta points out that while spinning and weaving are capital-intensive industries requiring investments of Rs 300-400 crore, garmenting can begin with investments as low as Rs 1-2 crore, generating significantly higher employment and value addition.

Diversification is equally critical. Expanding aggressively into MMF-based products, technical textiles and fast-fashion categories will be essential. Industry leaders also say India should move beyond competing purely on low costs and instead position itself as a supplier of sustainable, high-quality and fast-delivery products. At the same time, improving reliability is essential. "You need reliability across the value chain to cater to large customers," says Jaipuria, pointing to inconsistencies in processing and finishing that often undermine orders.

The Gulf crisis may have exposed the cracks in India's textile industry, but those cracks appeared over years of neglect. The opportunity before India remains enormous. International brands are actively diversifying away from China, new FTAs are opening access to key markets and demand for alternative supply chains continues to rise. Unless India addresses the deeper structural weaknesses that have long held back the sector, the country risks watching competitors capture the very markets it hopes to dominate. For one of India's largest employers and most strategically important manufacturing sectors, the challenge now is not simply exporting more. It is becoming globally competitive again. ■



MANDAR DEODHAR

> **"NOT ONLY DID INPUT COSTS RISE SHARPLY, BUT EXPORTS TO WEST ASIA ALSO CAME TO A COMPLETE HALT IN MARCH"**

CASE STUDY

UCHIT SHAH, 36

Director, Optimum Silk Mills, Bhiwandi, Mumbai

Revenue: Rs 34 crore

When Uchit Shah joined his father and uncle in their family business 15 years ago, the textile industry in Bhiwandi was already on the wane. From what was a sellers' market, it had become a buyers' market, with textile firms here accumulating inventories of 4-5 months in their factories. The West Asia war came as a double whammy for him. "Not only did input costs rise sharply—polyester and nylon yarn prices jumped by 50 per cent and freight costs surged—but exports to the region came to a complete halt in March," says Shah. As much as 70 per cent of his company's exports go to West Asia.

Shah plans to enter the European market, now that an FTA is in place. "Luckily, Europe is an unexplored territory. The quality or grading system of fabric followed in Europe is similar to Latin America [he exports to Peru, Mexico, Colombia and Brazil]," he says. But for now, Shah is busy trying to reach across the existing export orders to his clients in West Asia and Africa. ■